

US ECONOMICS ANALYST

Concentration, Profits, and the Competitive Landscape Ahead of AI Disruption

- AI has the potential both to intensify competition by eroding the advantages of today's dominant incumbents and to reduce it by enabling the most successful AI adopters to pull far ahead. Its impact will depend not only on how competitive the AI industry itself proves to be but also on the status quo it disrupts. We take a closer look at why concentration and profit margins have risen to historically elevated levels, how closely the two trends are linked, and what the competitive backdrop looks like in sectors where AI is likely to have the largest impact.
- New data spanning nearly a century of tax and administrative records document a long-run rise in corporate concentration across the US and other advanced economies. In the US, concentration has increased steadily since the 1930s, driven by the expansion of larger firms first in finance and manufacturing and later in information, and retail and wholesale trade.
- Three main hypotheses have been proposed to explain rising concentration. The first links it to globalization and trade, with larger firms capturing a disproportionate share of the gains from expanded market access. But across advanced economies, we find little evidence that increases in trade openness have coincided with larger increases in concentration. The second points to weaker antitrust enforcement and higher regulatory barriers to entry. While this channel has plausibly played some role, concentration has risen at a broadly similar pace across different US antitrust regimes since the 1960s.
- We view the third hypothesis—that new technologies have enabled a small number of firms to leverage economies of scale and capture larger market shares—as the most compelling. Across advanced economies, concentration has risen more rapidly during periods of faster technological change. Consistent with this, productivity dispersion has widened following technology shocks, with frontier firms extending their lead—particularly in technology-producing sectors and in industries most transformed by new technologies, such as online retail.
- Profit margins have also risen in recent decades. How much of the increase is connected to rising concentration? Over the past four decades, US firms have raised markups substantially, reflecting two main forces. First, higher incomes have reduced consumers' sensitivity to price differences, leading them to compare prices less across sellers. Second, rising concentration—at the national level if not necessarily at the local level—has reduced competition. We estimate that since 2000, higher concentration has accounted for roughly one-third of the

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increase in profit margins.

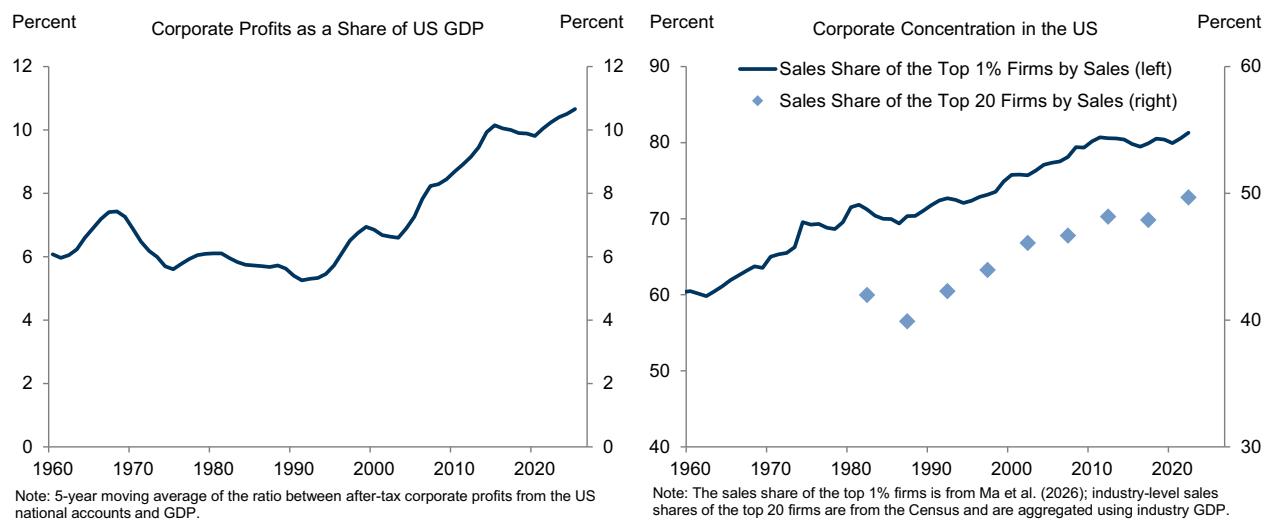
- We see two-sided implications for the potential impact of AI on concentration and corporate profitability. We find that the industries most exposed to AI are currently somewhat more concentrated and operate with higher margins, and AI disruption could plausibly foster greater competition in some of them. But the historical lesson from previous technology shocks is that new technologies and the successful investment in intangible capital needed to deploy them have tended to raise concentration as scale and network effects accrue to leading firms.

Concentration, Profits, and the Competitive Landscape Ahead of AI Disruption

AI has the potential both to intensify competition by eroding the advantages of today's dominant incumbents and to reduce it by enabling the most successful AI adopters to pull far ahead. Its impact will depend not only on how competitive the AI industry itself proves to be but also on the status quo it disrupts.

In this week's *Analyst*, we take a closer look at why concentration and profit margins have risen to historically elevated levels (Exhibit 1), how closely the two trends are linked, and what the competitive backdrop looks like in sectors where AI is likely to have the largest impact.

Exhibit 1: Corporate Profits and Concentration Are at Record Highs in the US



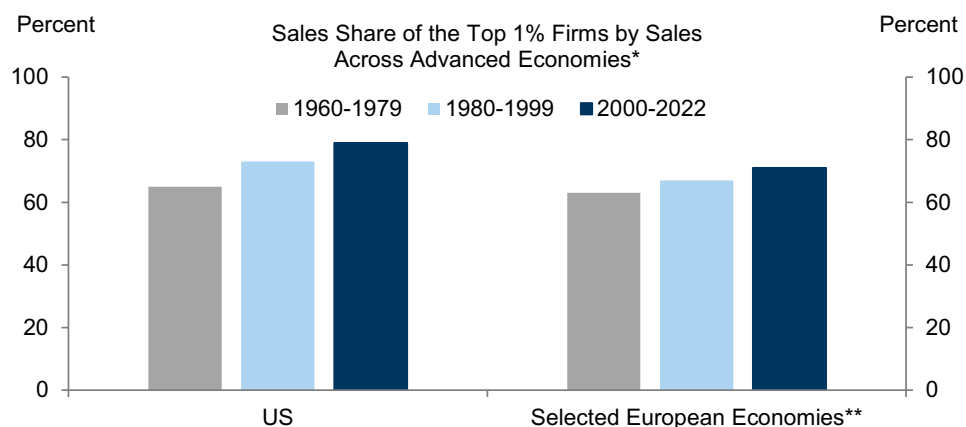
Source: Goldman Sachs Global Investment Research, Department of Commerce, Ma et al. (2026)

The Long-Run Rise in Corporate Concentration

New data spanning nearly a century of tax and administrative records document a long-run rise in corporate concentration across the US and other advanced economies. Drawing on the IRS Statistics of Income data for the US and on VAT and sales tax records, corporate tax filings, and company registries for other countries, economist Yueran Ma and co-authors have constructed sales, asset, equity capital, and net income shares of top firms as standardized cross-country measures of concentration.¹

As shown in Exhibit 2, the sales share of the top 1% of US firms rose from roughly 60% in the 1960s–70s to around 80% in recent years. Across Austria, Denmark, France, Germany, and Switzerland, the comparable figure increased from a similar starting point to roughly 70% over the same period. Alternative concentration measures from the same dataset—including top firms' equity capital and net income shares—show a similar upward trend in a broader group of advanced economies, including Australia, Canada, Singapore, South Korea, and the UK.

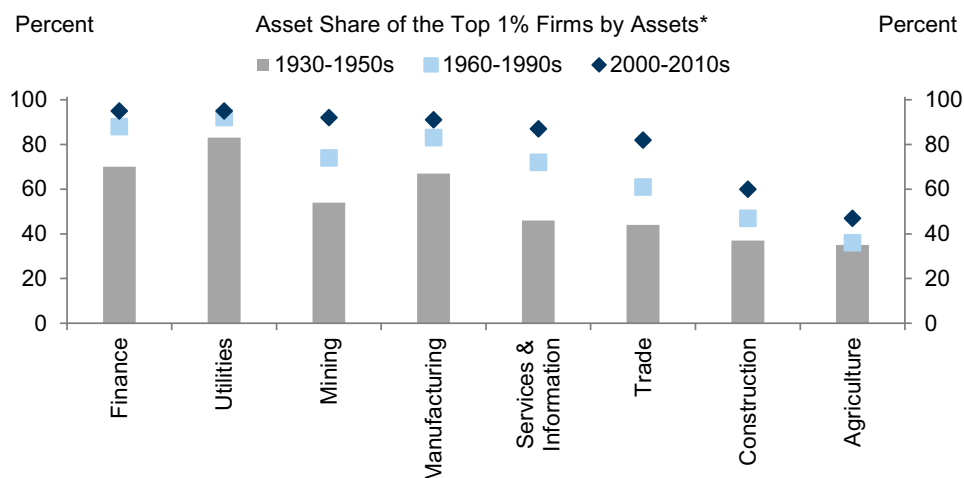
¹ Ma, Zhang and Zimmermann (2026), "Business Concentration Around the World: 1900–2020," *NBER Working Paper*, and Kwon, Ma and Zimmermann (2024), "100 Years of Rising Corporate Concentration," *American Economic Review*. We thank the authors for sharing their corporate concentration data.

Exhibit 2: Corporate Concentration Has Risen Steadily, Both Across Advanced Economies...

* A similar upward trend can be obtained by using the sales share of the top 500 firms by sales in each country.
 ** This group includes Austria, Denmark, France, Germany and Switzerland. The series is obtained by aggregating the country-level estimates in Ma et al. (2026) using dollar GDP weights.

Source: Goldman Sachs Global Investment Research, Ma et al. (2026)

Exhibit 3 shows that the asset shares of the top 1% of firms—a concentration measure available back to the 1930s—have risen broadly across US industries, driven first by the expansion of larger firms in finance and manufacturing and later by their growing dominance in information, and retail and wholesale trade. Census data on the sales share of the top 4, 20, and 50 firms within each industry, available only since the 1980s, point to a similar pattern.

Exhibit 3: ...And US Industries

* Top 1% sales shares have increased steadily too but industry-level data are available since the 1960s only.

Source: Goldman Sachs Global Investment Research, Kwon et al. (2024)

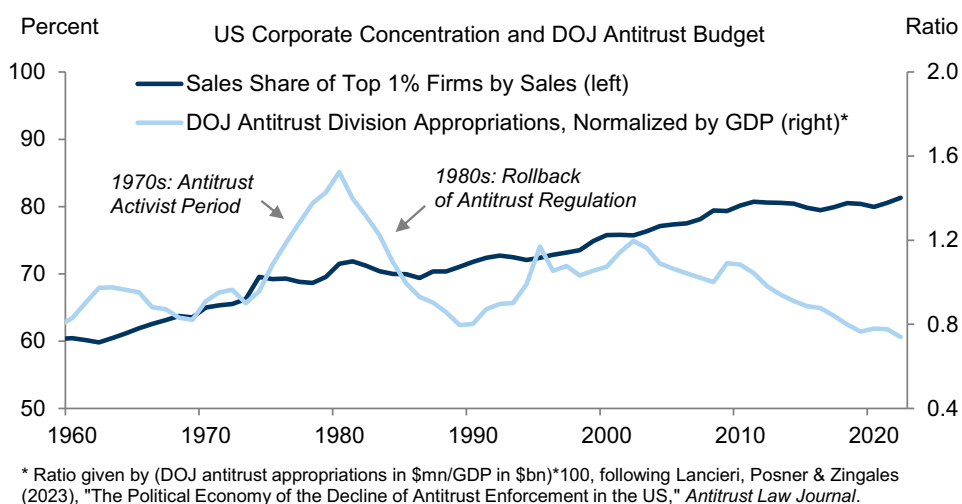
Three main hypotheses have been proposed to explain rising corporate concentration.

The first points to globalization and trade. As globalization has allowed firms to access more efficient supply chains, larger pools of capital and labor, and broader product markets, these benefits have likely accrued disproportionately to a small share of larger, more productive firms. At the same time, greater trade openness has intensified competition through the entry of foreign firms into domestic markets, complicating the

net effect on concentration.² Using a panel of advanced economies in 1960–2022, we find little evidence that increases in trade openness—proxied by the ratio of total exports and imports to GDP—have been associated with larger increases in concentration.

The second hypothesis points to weaker antitrust enforcement and higher regulatory barriers to entry. For example, economists Germán Gutiérrez and Thomas Philippon have argued that the rise in occupational licensing requirements has raised the fixed costs of starting new businesses, deterring entry by competitors.³ While this channel has plausibly played some role, the evidence on its quantitative importance remains inconclusive. Using the Department of Justice Antitrust Division’s budget as a proxy for enforcement intensity, we find that concentration has risen at a broadly similar pace across different US antitrust regimes since the 1960s (Exhibit 4). Evidence from Europe also suggests that while stricter merger enforcement is associated with lower concentration, this relationship has weakened over time.⁴

Exhibit 4: Corporate Concentration Has Risen Across Different Antitrust Regimes



Source: Goldman Sachs Global Investment Research, Department of Justice, Ma et al. (2026)

We view the third hypothesis—that new technologies have enabled a small number of firms to leverage economies of scale and capture larger market shares—as the most compelling.

As Exhibit 5 shows, across advanced economies and especially in the US, concentration has risen more rapidly during periods of faster technological change. New technologies tend to involve high fixed deployment costs and low marginal costs of scaling, so that

² Melitz (2003), "The Impact of Trade on Intra-Industry Reallocations and Aggregate Industry Productivity," *Econometrica* shows that globalization can reallocate revenues toward a smaller number of highly productive firms. Feenstra and Weinstein (2017), "Globalization, Markups, and US Welfare," *Journal of Political Economy* and Amiti and Heise (2025), "US Market Concentration and Import Competition," *Review of Economic Studies* document an increase in competition in US markets driven by the entry of foreign firms. Kwon et al. (2024) show that top-firm sales shares have risen sharply even after netting out export contributions.

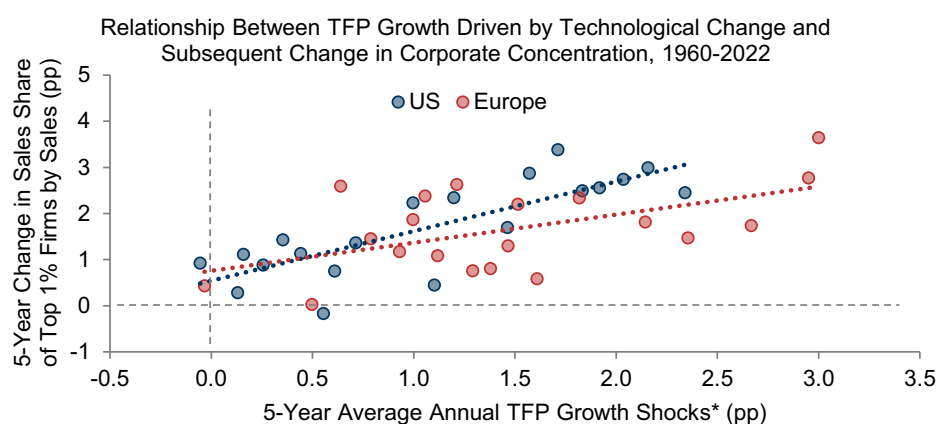
³ Gutiérrez and Philippon (2017), "Declining Competition and Investment in the US," *NBER Working Paper*.

⁴ Kwon et al. (2024) reach a similar conclusion by examining the relationship between US corporate concentration and the number of DOJ antitrust cases since the 1940s. Affeldt, Duso, Kugler and Piechucka (2021), "Market Concentration in Europe: Evidence from Antitrust Markets," *CESifo Working Paper* discuss the weakening relationship between merger enforcement and concentration in Europe.

firms with the capital and organizational capacity to make the upfront investments required to adopt them—including in data infrastructure, software, and organizational redesign—can spread those costs across a larger output base, gaining market shares over smaller rivals.

More recently, the rise of platform markets with strong network effects—where the value of a service grows with its user base, giving early leaders a self-reinforcing advantage—has also contributed to rising concentration. Using detailed industry-level data from the US Economic Census, we estimate that between 2012 and 2022 concentration rose much faster in industries where network effects are stronger. For example, concentration in web search services and in online retail grew roughly five and three times faster than the cross-industry average, respectively.

Exhibit 5: Corporate Concentration Has Risen Faster During Periods of Rapid Technological Change

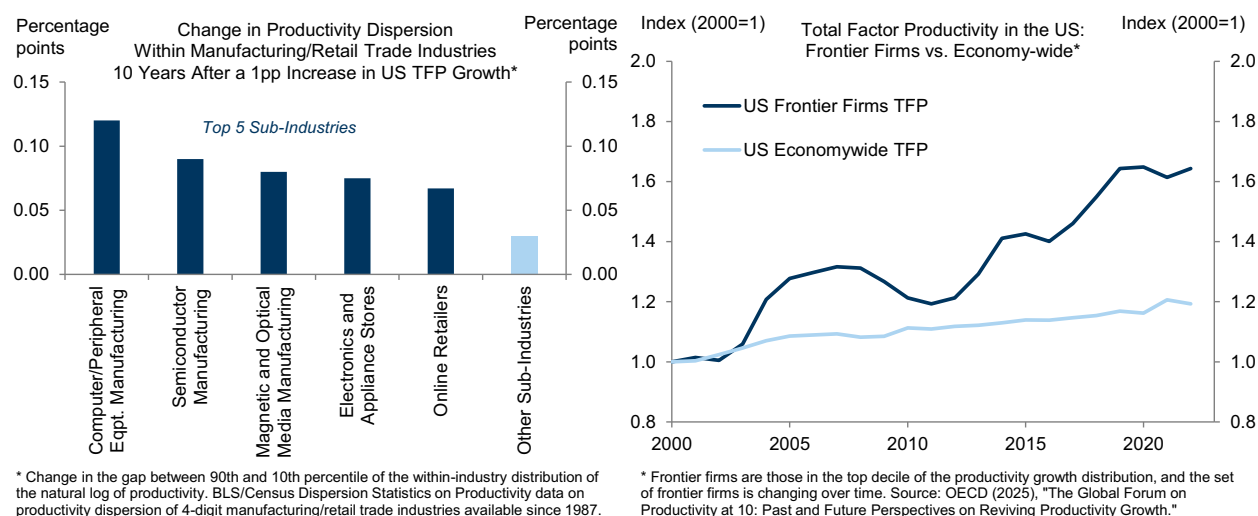


* US TFP shocks follow Basu et al. (2006). For Austria, Denmark, France, Germany and Switzerland, we apply the same method extended by Comin et al. (2025), supplemented by the AMECO series where unavailable. We use a 5-year average of the original annual series to smoothen short-run fluctuations in TFP growth.

Source: Goldman Sachs Global Investment Research, Basu et al. (2006), Comin et al. (2025), Ma et al. (2026), European Commission

Consistent with the rise of larger, dominant firms, productivity dispersion has also widened following technology shocks. Drawing on the BLS Dispersion Statistics on Productivity, we find that faster technological progress has led to higher subsequent productivity dispersion in manufacturing and retail trade—particularly in technology-producing sectors and in industries most transformed by new technologies, such as online retail (Exhibit 6, left panel). The right panel of Exhibit 6 shows that frontier firms' productivity growth has far outpaced the economywide average in recent decades.

Exhibit 6: Technological Change Has Widened Productivity Dispersion Across Firms, Particularly in Technology-Related Industries, Increasing the Gap Between Frontier Firms and the Rest

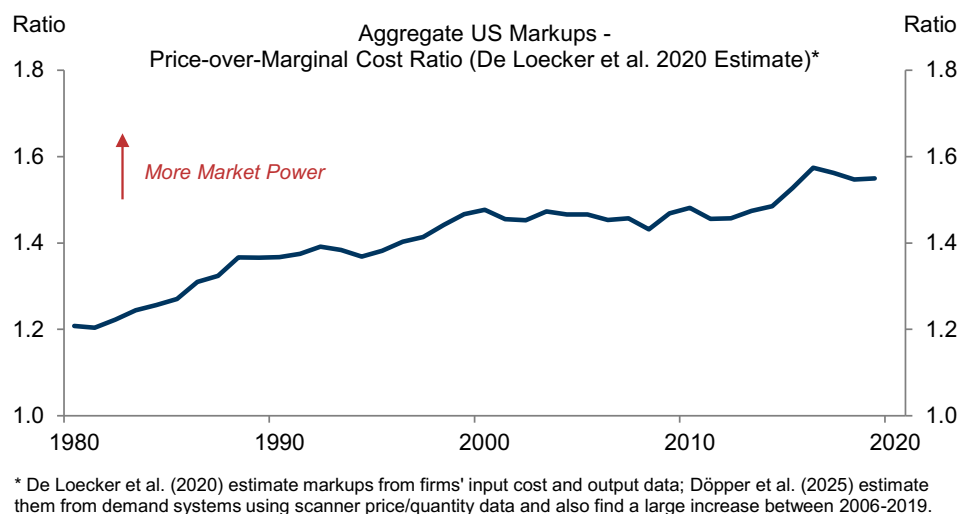


Source: Goldman Sachs Global Investment Research, US Bureau of Labor Statistics, Basu et al. (2006), OECD

What Explains the Rise in Corporate Profit Margins?

US corporate profit margins have also risen steadily in recent decades. After-tax corporate profits as a share of value added have roughly doubled from about 5% in the late 1980s to over 10% recently. Over the same period, US firms have substantially raised markups—the amount by which prices exceed the marginal cost of producing goods and services (Exhibit 7).⁵

Exhibit 7: Markups Charged by US Firms Have Risen Since the 1980s...



Source: Goldman Sachs Global Investment Research, De Loecker et al. (2020)

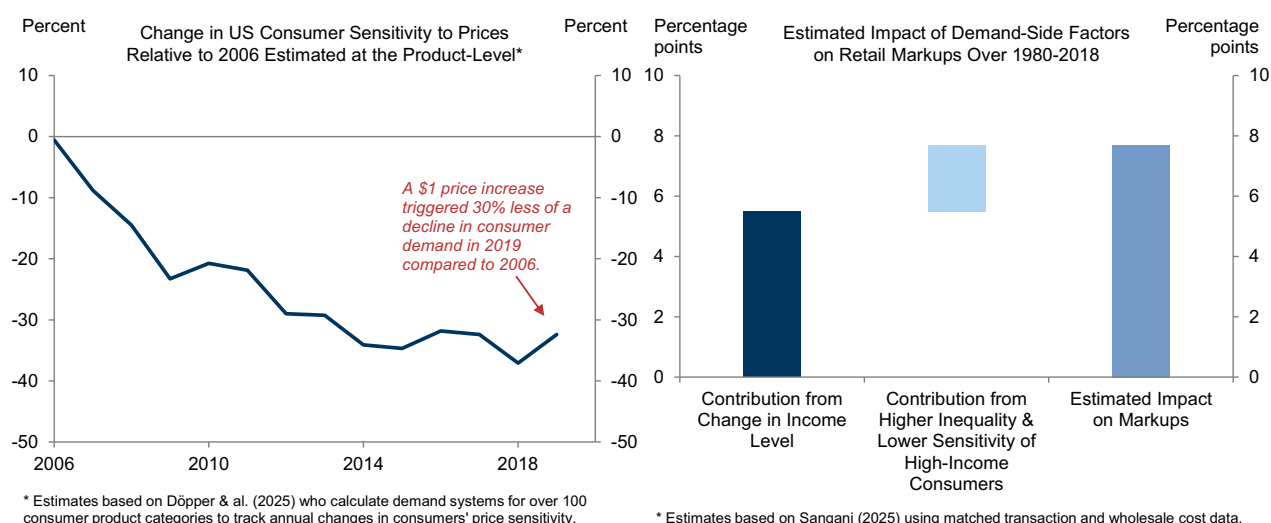
⁵ Markup estimation faces several empirical challenges. Miller (2024), "Industrial Organization and the Rise of Market Power," *NBER Working Paper* reviews the literature, covering both the "production approach"—which infers markups from firms' input cost and output data, as in De Loecker, Eeckhout and Unger (2020), "The Rise of Market Power and the Macroeconomic Implications," *Quarterly Journal of Economics*—and the "demand approach," which models consumer demand from price and quantity data. Both approaches point to rising US markups in recent decades.

The increase in markups, and the resulting boost to profit margins, reflects two main forces.

First, consumers' sensitivity to price differences has declined over time, leading them to compare prices less across sellers.⁶ Economist Hendrik Döpper and co-authors estimate that across more than 100 product categories, US consumers became roughly 30% less price sensitive between 2006 and 2019 (Exhibit 8, left panel). This allowed firms to retain declines in marginal costs as wider profit margins rather than pass them through to consumers.

Economist Kunal Sangani attributes lower consumer price sensitivity to rising incomes: higher income raises the opportunity cost of time, leading consumers to search less for lower prices.⁷ He estimates that increases in average income and in income inequality—which has meant that less price-sensitive households account for a larger share of total consumption—can account for a roughly 8pp rise in the aggregate retail markup from 1980 to 2018 (Exhibit 8, right panel). Consistent with this hypothesis, we find a positive cross-country relationship between the rise in markups and the increase in GDP per capita over 1980–2016 across a sample of advanced economies.⁸

Exhibit 8: ...Partly Reflecting Lower Consumer Price Sensitivity as Rising Incomes Lead Households to Search Less Across Sellers



Source: Goldman Sachs Global Investment Research, Döpper et al. (2025), Sangani (2025)

Second, rising concentration has reduced competition, allowing firms to exert greater market power and charge higher markups.

We estimate the impact of concentration on profit margins by combining concentration data from Kwon et al. (2024) and the Economic Census with industry-level profit margins

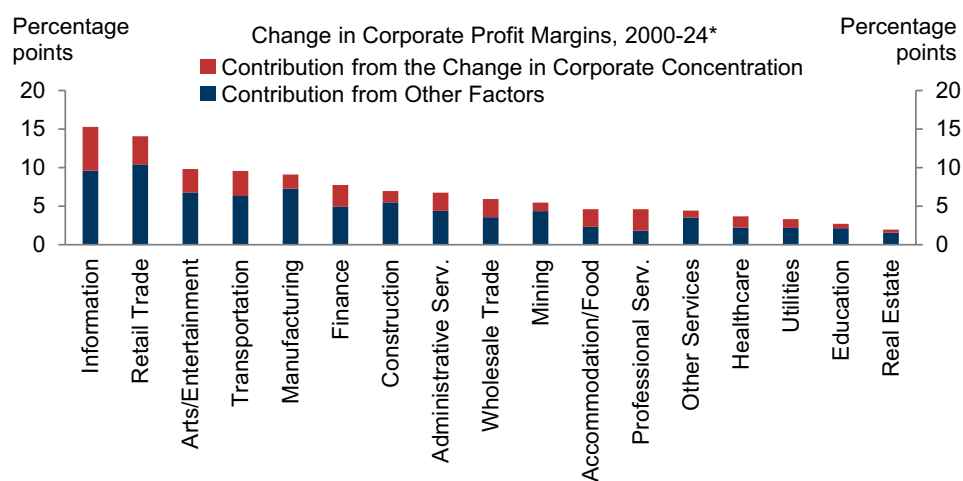
⁶ Döpper, MacKay, Miller and Stiebale (2025), "Rising Markups and the Role of Consumer Preferences," *Journal of Political Economy*; Sangani (2025), "Markups Across the Income Distribution: Measurement and Implications," *Working Paper*.

⁷ Another potential driver of declining consumer price sensitivity in recent years is rising product differentiation, as retailers and online platforms offer a growing share of "niche" products tailored to narrower consumer tastes—raising switching costs across products, as discussed in Brand (2021), "Differences in Differentiation: Rising Variety and Markups in Retail Food Stores," *Working Paper*.

⁸ We consider a group of advanced economies—Australia, Canada, France, Germany, Italy, the Netherlands, New Zealand, Spain, Sweden, the UK, and the US—for which De Loecker and Eeckhout (2018), "Global Market Power," *NBER Working Paper* provide markup estimates for 1980–2016.

from the Bureau of Economic Analysis in a panel covering 2000–2024. Our regressions control for time and industry fixed effects to isolate the impact of changes in concentration from aggregate business cycle dynamics and time-invariant industry characteristics. We estimate that on average across US industries, rising concentration accounts for roughly one-third of the increase in profit margins over this period (Exhibit 9). In turn, the rise in profitability at dominant US firms helps to explain elevated levels of equity market concentration.

Exhibit 9: Rising Concentration Accounts for Roughly One-Third of the Increase in Profit Margins Since 2000



* After-tax corporate profits as a share of industry-level gross value added.

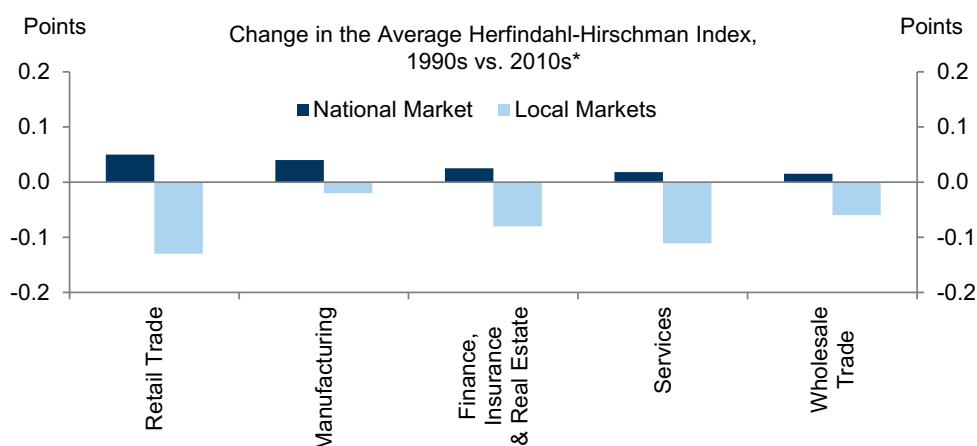
Source: Goldman Sachs Global Investment Research, Department of Commerce, Kwon et al. (2024)

One factor that complicates the link between rising concentration and rising profit margins is that national-level concentration trends may overstate the decline in competition faced by US consumers.⁹ Across many local markets—particularly in retail trade, financial services, and food and accommodation services—larger firms have increasingly entered areas once dominated by a few small local incumbents. This can *reduce* local concentration—a town gaining a national retailer alongside its local store has now more competition than before—even as the rise of the national chain *increases* concentration at the national level (Exhibit 10).

But the ultimate effect on profitability is hard to gauge. While the entry of large firms tends to reduce local concentration initially, it can also drive out smaller rivals over time, allowing the surviving firms to operate with wider margins and exert greater product- and labor-market power.

⁹ Rossi-Hansberg, Sarte and Trachter (2020), “Diverging Trends in National and Local Concentration,” *NBER Macroeconomics Annual* is the first paper to document the divergence between national and local concentration trends. Benkard, Yurukoglu and Zhang (2026), “Concentration in Product Markets,” *American Economic Journal: Microeconomics* show that concentration across many narrowly-defined US consumer product markets remains elevated but has declined recently.

Exhibit 10: While Concentration Has Risen at the National Level, It May Have Declined at the Local Level as Larger Firms Have Increasingly Entered Local Markets



* Rossi-Hansberg et al. (2020), "Diverging Trends in National and Local Concentration," *NBER Macroeconomics Annual*. The reported changes in local-level HHI indexes are calculated at the ZIP code-level.

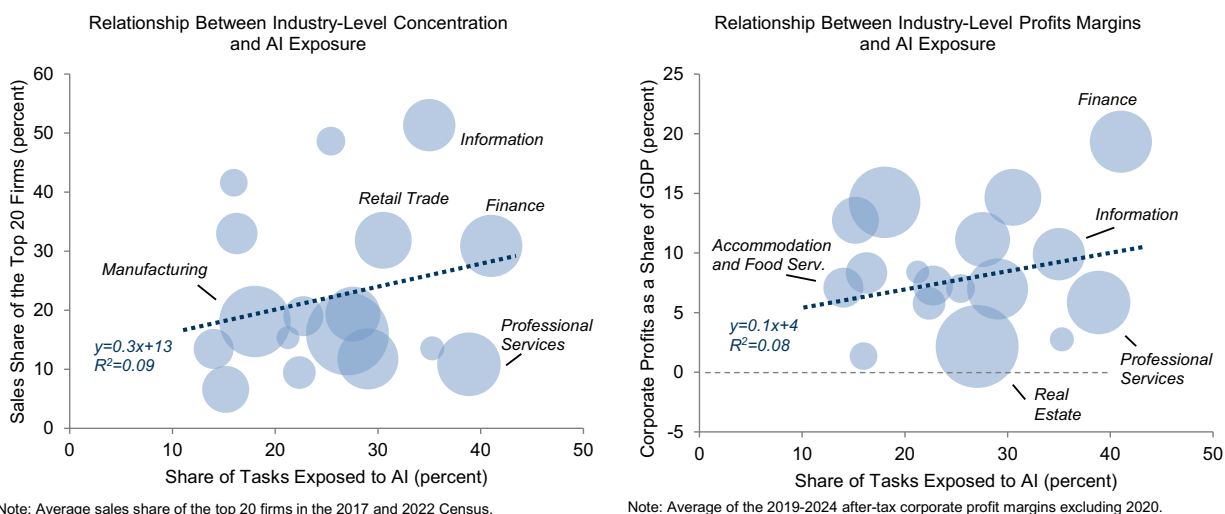
Source: Goldman Sachs Global Investment Research, Rossi-Hansberg et al. (2020)

AI's Implications for Concentration and Profitability

Looking ahead, we see two-sided implications for the potential impact of AI on concentration and corporate profitability.

As Exhibit 11 shows, the US industries most exposed to AI, such as information and finance, are currently somewhat more concentrated and operate with higher profit margins. AI disruption could plausibly foster greater competition in at least some of them. But the historical lesson from previous technology shocks is that new technologies—and the successful investment in intangible capital needed to deploy them effectively—have tended to raise concentration as scale and network effects accrue to leading firms.

Exhibit 11: AI-Exposed Industries Are Somewhat More Concentrated and Operate with Higher Profit Margins



Source: Goldman Sachs Global Investment Research, Department of Commerce

Pierfrancesco Mei

The US Economic and Financial Outlook

THE US ECONOMIC AND FINANCIAL OUTLOOK

(% change on previous period, annualized, except where noted)

	2023	2024	2025	2026	2027	2025 Q4	2026 Q1	2026 Q2	2026 Q3	2026 Q4	2027 Q1	2027 Q2	2027 Q3	2027 Q4
OUTPUT AND SPENDING														
Real GDP	2.9	2.8	2.1	2.1	2.1	0.5	2.0	2.1	1.9	1.9	2.0	2.1	2.2	2.3
Real GDP (annual=Q4/Q4, quarterly=yoy)	3.4	2.4	2.0	2.0	2.2	2.0	2.7	2.2	1.6	2.0	2.0	2.0	2.1	2.2
Consumer Expenditures	2.6	2.9	2.6	1.9	1.8	1.9	1.6	1.4	1.4	1.5	1.9	2.0	2.1	2.2
Residential Fixed Investment	-7.8	3.2	-2.2	-3.1	1.9	-1.7	-8.0	1.0	1.5	1.5	2.2	2.2	2.2	2.2
Business Fixed Investment	7.3	2.9	4.1	5.9	4.8	2.4	10.4	5.9	5.2	4.6	4.8	4.7	4.7	4.7
Structures	16.7	1.1	-5.3	-3.4	3.5	-6.6	-6.7	-0.2	4.0	4.0	4.0	3.5	3.5	3.5
Equipment	2.9	3.5	8.3	9.1	5.4	4.3	17.2	9.8	6.0	5.0	5.0	5.0	5.0	5.0
Intellectual Property Products	6.2	3.5	5.6	7.7	4.9	5.4	13.0	5.0	5.0	4.5	5.0	5.0	5.0	5.0
Federal Government	3.3	3.8	-1.2	-1.0	0.9	-16.7	9.4	0.0	1.0	1.0	1.0	1.0	1.0	1.0
State & Local Government	3.6	3.8	2.5	1.3	0.9	1.5	1.6	0.5	0.5	1.0	1.0	1.0	1.0	1.0
Net Exports (\$bn, '17)	-925	-1,033	-1,091	-1,096	-1,154	-969	-1,068	-1,096	-1,104	-1,116	-1,131	-1,146	-1,162	-1,177
Inventory Investment (\$bn, '17)	47	44	29	25	49	-16	-8	27	35	45	45	48	50	53
Nominal GDP	6.7	5.3	5.0	6.0	4.6	4.2	5.6	8.2	4.8	4.4	4.4	4.3	4.3	4.3
Industrial Production, Mfg.	-1.0	-1.0	0.9	2.8	3.3	-3.1	5.7	4.8	3.6	3.2	3.1	3.2	3.3	3.3
HOUSING MARKET														
Housing Starts (units, thous)	1,421	1,371	1,356	1,286	1,322	1,323	1,280	1,290	1,280	1,292	1,304	1,316	1,328	1,340
New Home Sales (units, thous)	665	685	672	670	644	680	690	690	662	638	626	632	649	670
Existing Home Sales (units, thous)	4,103	4,067	4,076	4,212	4,375	4,157	4,169	4,189	4,223	4,267	4,310	4,353	4,396	4,440
Case-Shiller Home Prices (%yoy)*	5.3	3.8	0.6	0.8	2.2	0.6	0.3	0.8	0.7	0.8	1.1	1.4	1.8	2.2
INFLATION (% ch, yr/yr)														
Consumer Price Index (CPI)**	3.3	2.9	2.7	3.7	2.0	2.7	2.7	3.9	3.7	3.7	3.3	2.3	2.2	2.1
Core CPI **	3.9	3.2	2.6	2.2	2.0	2.7	2.5	2.7	2.4	2.3	2.0	1.8	1.8	2.0
Core PCE** †	3.1	3.0	3.0	2.8	2.0	2.9	3.1	3.3	3.1	2.9	2.4	2.0	1.9	1.9
LABOR MARKET														
Unemployment Rate (%)*	3.8	4.1	4.4	4.6	4.4	4.4	4.3	4.4	4.6	4.6	4.6	4.5	4.5	4.4
U6 Underemployment Rate (%)*	7.2	7.6	8.4	8.7	8.3	8.4	8.0	8.4	8.6	8.7	8.7	8.6	8.4	8.3
Payrolls (thous, monthly rate)	210	122	10	51	92	-39	63	65	30	47	70	97	100	100
Employment-Population Ratio (%)*	60.1	59.9	59.7	58.9	58.8	59.7	59.2	59.1	59.0	58.9	58.9	58.8	58.8	58.8
Labor Force Participation Rate (%)*	62.5	62.5	62.4	61.8	61.5	62.4	61.9	61.8	61.8	61.8	61.7	61.6	61.6	61.5
Average Hourly Earnings (%yoy)	4.4	3.9	4.0	3.9	3.8	4.0	4.0	4.0	3.9	3.8	3.8	3.8	3.8	3.8
GOVERNMENT FINANCE														
Federal Budget (FY, \$bn)	-1,694	-1,833	-1,775	-1,950	-2,050	--	--	--	--	--	--	--	--	--
FINANCIAL INDICATORS														
FF Target Range (Bottom-Top, %)*	5.25-5.5	4.25-4.5	3.5-3.75	3.25-3.5	3-3.25	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.25-3.5	3-3.25	3-3.25	3-3.25	3-3.25
10-Year Treasury Note*	3.88	4.58	4.18	4.10	4.15	4.18	4.30	4.30	4.20	4.10	4.10	4.10	4.15	4.15
Euro (€/€)*	1.11	1.04	1.17	1.18	1.20	1.17	1.15	1.16	1.19	1.18	1.19	1.20	1.20	1.20
Yen (\$/¥)*	141	157	157	158	141	157	159	158	158	158	156	141	101	141

* Weighted average of metro-level HPIs for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.

** Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.

† PCE = Personal consumption expenditures. ^ Denotes end of period.

Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research

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Disclosure Appendix

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Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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